

Sakila DVD Rental Business Analysis

Objective:

The primary goal of this study is to analyze rental transactions across both store locations to identify growth opportunities. By evaluating high-demand categories and monitoring customer preferences, to optimize inventory efficiency and maximize rental performance.

The strategy: The Attraction-Retention model

A DVD rental business should not rely only on “blockbuster” magnitude. But focus on long-term sustainability. It should use popular titles as entry points, then retain customers through category variety aligned with their preferences:

- Treat movie watching as a habit loop, not a one-time purchase.
- Use famous/high-demand films to attract traffic.
- Use category depth and variety to retain customers.

Analysis and Key insights:

Based on the extracted data and as shown in the dashboard:

The data reveals no significant gaps in demand across all categories, indicating a balanced interest from customers. However, a distinct pattern and specific taste can be identified for each location:

- Lethbridge store: shows a primary inclination towards Animation, Sports, Sci-Fi. This indicates a preference for imaginative and high-energy entertainment.
- Woodridge store: the taste leans more towards Action, Sports and Family films, this reflects a demographic interest in dynamic and social content suitable for group viewing.

common trends:

- The top driver: the Sports category stands out as the most rented genre in both locations.
- Low-performance: conversely, both stores generally show low interest in Travel and Music, Horror categories.

Based on the overall view of high performing movies it is evident that a films success often hinges on individual factors (such as fame, actors or title recognition) rather than its category alone. Some movies within less popular categories (travel, foreign) show high rental numbers.

The Data shows that renting movies is a consistent habit for most customers, with many reaching over 40 rentals.

Recommendations

- Prioritize acquiring some famous movies and big-name titles to act as primary “magnets” for the store. Once customers are attracted, offer a wide variety of popular categories (like sports and animation) to satisfy general tastes and ensure long-term retention.
- Decrease investment in films that lack fame and do not belong to high-demand genres like sports or action.
- Offer a specialized experience for loyal customers to maintain their frequent rental behavior.